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LEGAL DUE DILIGENCE REPORT

Project Cedar – Proposed acquisition of Harrowgate Precision Castings Limited
Prepared for Crestview Capital by Whitfield Carter LLP • Final • 2 April 2026

1. Executive summary

This report summarises the findings of our legal due diligence on Harrowgate Precision Castings Limited (the "Company"), a Sheffield-based investment (lost-wax) castings manufacturer supplying nickel- and titanium-alloy components to the aerospace and defence sectors. Our review covered corporate, contracts, intellectual property, real estate, employment, regulatory, litigation, environmental and tax matters, based on the documents made available in the Datasite data room and the Sellers' replies to enquiries dated 26 February 2026 and 19 March 2026.

Overall, the Company is well-managed and its title to its principal assets is sound. We have identified a small number of issues that warrant specific attention in the transaction documents, summarised in the table below and addressed in detail in the body of this report. None of these issues, in our view, is a deal-breaker, but several should be covered by specific indemnities and/or the warranty and indemnity insurance policy.

Ref	Issue	Risk	Recommended treatment
4.2	Caldera Mobility change-of-control termination right (17% of revenue)	Medium	Condition / pre-completion consent obtained
6.1	Intimated Employment Tribunal claim (Mr K. Doyle)	Low–Med	Specific indemnity £400,000; excluded from W&I
7.1	Phase II environmental contamination at Brightside Works	Low	Reflected in WC target; environmental warranty
8.1	Open HMRC R&D credit enquiry (£142,000)	Low–Med	Tax covenant; specific indemnity
3.1	NADCAP heat-treatment accreditation renewal (Sept 2026)	Low	Warranty + post-completion monitoring

2. Corporate

The Company (registered number 02914886) was incorporated on 14 March 1994 and has an issued share capital of £1,000,000 divided into 1,000,000 ordinary shares of £1.00 each. The statutory registers are complete and up to date and are consistent with the Companies House record. The Shares are held as to 62% by Geoffrey Harrowgate, 8% by Diane Harrowgate and 30% by Penfold Growth Capital LLP, who subscribed for its stake in 2018. There are no options, warrants or other rights over the share capital. The articles of association contain pre-emption rights on transfer which are waived in the share purchase agreement. The Company has one dormant subsidiary, Harrowgate Tooling Ltd, which is to be retained.

3. Regulatory and accreditations

The Company holds AS9100 Rev D (aerospace quality management) and NADCAP accreditations for its investment-casting and non-destructive-testing processes. These are material to its ability to supply its aerospace customers. The NADCAP heat-treatment accreditation (certificate expiring 30 September 2026) is due for a renewal audit in September 2026; the renewal application has been submitted. We recommend a specific warranty that the accreditations are valid and subsisting and that the Sellers are not aware of any matter likely to lead to suspension or non-renewal.

3.1 Export control

A proportion of the Company's defence work is subject to UK export-control licensing under the Export Control Order 2008. Our review of the licence file did not reveal any breaches, but given the nature of the work we

recommend a specific compliance warranty and confirmation that all current licences will remain valid following the change of control.

4. Material contracts

The Company's revenue is moderately concentrated: its three largest customers (Caldera Mobility Systems plc, Aerelon Aviation Group plc and a US defence prime) together account for approximately 41% of FY2025 turnover.

4.2 Change-of-control provisions

The supply agreement with Caldera Mobility Systems plc (17% of turnover) contains a change-of-control termination right exercisable on 90 days' notice. We made completion of the acquisition conditional on, or alternatively recommended obtaining, the customer's prior written consent. Consent was obtained by letter dated 28 April 2026, which we have reviewed and consider satisfactory. The Aerelon framework agreement expired on 31 December 2025 and is operating on a rolling basis; renewal heads of terms have been agreed.

5. Real estate

The Company operates from a single freehold site, the Brightside Works, Carlisle Street East, Sheffield S4 7QN, held under title number SYK284113. Our review of the official copies and the replies to CPSE enquiries did not reveal any material title defects. The property is subject to a legal charge in favour of Northbank plc securing the Company's existing facilities, which is to be released at completion against the redemption statement provided.

6. Employment and pensions

The Company employs 138 people. Contracts are on standard terms save for three senior employees on 12-month notice periods. The Company operates a defined-contribution pension scheme only, with no defined-benefit exposure.

6.1 Litigation / Tribunal claim

A former employee, Mr K. Doyle, has intimated an unfair dismissal claim through ACAS early conciliation but has not issued proceedings. The Company considers the claim to be without merit. Given the uncertainty, we recommend (and the parties have agreed) a specific indemnity of £400,000 from the Sellers, this matter being excluded from the scope of the W&I policy.

7. Environmental

A Phase II environmental assessment dated November 2024 identified localised hydrocarbon contamination beneath the former oil store, with estimated remediation costs of £85,000. This has been reflected in the agreed net working capital target. We recommend retaining the standard environmental warranties.

8. Tax

HMRC has an open enquiry into the Company's R&D tax credit claim for the year ended 31 December 2023 (£142,000 at issue). The matter is addressed by the tax covenant and a specific indemnity. Save for this, our review (relying on the financial and tax due diligence led by the Buyer's accountants) did not reveal material tax exposures.

9. Recommendations on transaction structure

- Proceed on the basis of a buy-side W&I insurance policy, with seller recourse for the general warranties capped at 30% of the consideration (excess to the policy).

- Take specific indemnities for the Doyle Tribunal matter (£400,000) and the HMRC R&D enquiry, both excluded from the W&I policy.
- Make completion conditional on the Caldera change-of-control consent (now obtained) and on no material adverse change.
- Provide for a £1,200,000 retention for 12 months as security for warranty and tax claims not met by the policy.

This report is addressed to Crestview Capital for the purposes of the Project Cedar transaction only and may not be relied upon by any other person or for any other purpose without our prior written consent. It is subject to the assumptions and limitations set out in our engagement letter.